BEFORE THE
STATE OF NEW YORK
PUBLIC SERVICE COMMISSION

In the Matter of

Consolidated Edison Company of New York, Inc.
Cases 25-E-0072 & 25-G-0073
Electric and Gas Rates

May 30, 2025

Prepared Testimony of:

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Contents **Page**

Introduction 3
Qualifications and Background 3
Purpose of Testimony 5
Revenues and Rate Base 7
Capital Investment Plans and Cost of Capital 12
Return on Equity 16
Limitation on Recovery of Executive Compensation 19
Transition to Smart Meters 22
Affordability and Public Interest 24
Other Areas of Concern 24
Conclusion of Testimony 25

Introduction

Q: Please state your name, address and professional affiliation.

A: My name is Chris Burdick, and my office address is 333 North Bedford Road, Suite 131, Mt. Kisco, New York 10549. I am a member of the New York State Assembly representing the 93rd Assembly District in Westchester County.

Qualifications and Background

Q: Please list your educational and professional background.

A: I earned my B.A. in Economics and History from the University of California at Berkeley, my Master's Degree in international studies from the Johns Hopkins School of Advanced International Studies; and my Juris Doctorate from Seton Hall Law School. Previously, I served as an attorney at Stewart NY Metro, where I was Senior Underwriting Counsel and Senior Vice President. I served as a Bedford Town Board member for six years and Bedford Town Supervisor for seven years before joining the NYS Assembly in January 2021. I am now in my 3rd term as NYS Assemblymember.

Q: Do you feel that this experience qualifies you to provide testimony in these rate cases?

A: Yes. Having served as a Town Supervisor and now as a NYS Assemblymember, I have experience in not only working with the Consolidated Edison Company of New York, Inc., ("the

Company") quite frequently but also hearing from constituents directly about their experiences with the Company. In addition to this, recently, with Assemblymembers Levenberg and Shimsky, we put out a survey to our constituents to rate their satisfaction with their utility companies (Exhibit__ (CWB-01)Survey). I feel I am in a unique position to represent my constituents while also having an understanding of utility companies, especially the Company.

Q: What did the results of the survey tell you?

A: The results of the survey told me that the majority of respondents in my district are very unhappy with the current delivery charges. We asked residents to rank their satisfaction (1= least satisfied, 5= most satisfied) on a variety of issues, including gas and electric delivery rates, customer service, and special programs. The averages for gas and electric delivery charges were "2", with far more people selecting "1" than any other number. There were comments such as, "How much profit is enough?" "The rate has increased quite a bit and out paced inflation." "We pay MORE for all the taxes and service charges than the electricity or gas we use!" "Electricity charges are becoming astronomical, even for a small energy conscious home. At over $1000 a month, it is causing us to consider

moving out of the area." "We pay more in Con Ed Supply charges than for the actual electricity - it is outrageous." "As a sr (sic) citizen I am feeling the impact of these high rates; something needs to be done to lower them or we will be priced out of service." I feel very strongly that it is my duty to represent my constituents in this rate case.

Q: Have you previously testified before the New York State Public Service Commission?

A: Yes. I provided oral testimony on March 29, 2023, before the Public Service Commission in Consolidated Edison Company of New York, Inc, rate cases 22-E-0064 and 22-G-0065.

Purpose of Testimony

Q: What is the purpose of your testimony?

A: The purposes of my testimony, as is the purpose of my intervening in these cases, is to represent my constituents. We have heard from constituents who have deep concerns over the affordability and fairness of the Company's proposed double-digit rate increases. I also intend to evaluate the reasonableness of the Company's request and whether it represents just, reasonable requests which attain a balance between a fair and equitable return

for investors and the public interest, especially in consideration of fairness to and the burden on ratepayers.

Q: What factors do you consider in evaluating the reasonableness of the request?

A: I am reviewing the primary factors which the commission evaluates in its decisions including revenue requirements and rate base, capital investment plans and cost of capital, return on equity ("ROE"), and affordability and the public interest. I also have reviewed whether there should be appropriate limitations on recovery of compensation for highly paid company employees (in addition to continuing obligations which the commission has required of the Company pursuant to prior rate decisions), and whether it is appropriate to limit recovery for the Company's costs attributable to the transition to smart meters.

Q: Are you submitting exhibits?

A: Yes. I'm submitting exhibits:

1. Exhibit _ (CWB-01) [Survey]
2. Exhibit _ (CWB-02) DPS Notification for Electric Case
3. Exhibit _ (CWB-03) DPS Notification for Gas Case
4. Exhibit _ (CWB-04) 1-31-2025 Company Letter to Commission
5. Exhibit _ (CWB-05) Energy Affordability Program Report

6. Exhibit _ (CWB-06) NYS Comptroller July 2022 Economic and Policy Insights – Distribution of Utility Arrears in New York State

7. Exhibit _ (CWB-07) Social Security Administration Fact Sheet 2025 COLA

8. Exhibit _ (CWB-08) Pricing Term Sheet - Debentures

9. Exhibit _ (CWB-09) Fitch Rating on Debentures

10. Exhibit _ (CWB-10) Con Edison Media Release, 5-1-2025

11. Exhibit _ (CWB-11) Comments of the City of New York March 31, 2025

12. Exhibit _ (CWB-12) Haas Working Paper

13. Exhibit _ (CWB-13) 2-11-2025 Governor Hochul Letter

14. Exhibit _ (CWB-14) Summary Compensation Table

Revenues and Rate Base

Q: What is the company's proposed increase in electric revenues and what would be the anticipated monthly increase for the typical residential customer?

A: The Company seeks to increase electric revenues by approximately $1,611.6 billion (which the Company states is an 18.0% increase in base delivery revenues or 11.4% increase in total revenues) for the twelve-month period ending December 31, 2026. For residential customers whose monthly use is 280 kilowatt-hours (kWh), 425 kWh and 600 kWh, the respective delivery bill increases are 18.7%,

18.9% and 19.1%, with a total bill increase respectively of 13.7%, 13.5% and 13.4%. See attached Exhibit __ (CWB-02) which is Department of Public Service publication pursuant to Public Service Law Section 66(12)(1) for Case 25-E-0072 (the "DPS Notification for Electric Case").

Q: What is the Company's proposed increase in natural gas revenues and what would be the anticipated monthly increase for the typical residential customer?

A: The Company seeks to increase electric revenues by approximately $440 million (which the Company states is an 18.8% increase in base delivery revenues or 13.3% increase in total revenues) for the twelve-month period ending December 31, 2026. For residential customers whose monthly use is 100 Therms and those whose monthly use is 2,549 Therms, the respective delivery bill increases are 25.1% and 15.4%, with a total bill increase respectively of 19.1% and 10.7%. See attached Exhibit__ (CWB-03) which is Department of Public Service publication pursuant to Public Service Law Section 66(12)(1) for Case 25-G-0073 (the "DPS Notification for Gas Case").

Q: Can you identify the electric revenue increases which the commission has granted the Company over the last five years?

A: According to Con Edison's 2020 Proxy Statement, under the 2020–2022 Rate Plan (Case 19-E-0065), the electric delivery revenue increases were as follows: 2020: $113 million, 2021: $370 million and 2022: $326 million. Source: Consolidated Edison, Inc. 2020 Proxy Statement, page 31 https://www.sec.gov/Archives/edgar/data/23632/000104786220000104/ed-20200331ex992.htm. As per Con Edison's 1Q 2023 Earnings Release, under the 2023–2025 Rate Plan (Case 22-E-0064), the electric delivery revenue increases are: 2023: $442 million, 2024: $518 million and 2025: $382 million. Source: Consolidated Edison, Inc. 1Q 2023 Earnings Release, page 8. https://www.sec.gov/Archives/edgar/data/23632/000104786223000118/a1q2023earningsreleasepr.htm

Q: Can you identify the natural gas revenue increases which the commission has granted the Company over the last five years?

A: Gas delivery revenue increases under the 2020-2022 Rate Plan (Case 19-G-0066) were 2020: $84 million, 2021: $122 million and 2022: $167 million. Source: Consolidated Edison, Inc. 2020 Proxy Statement, page 31 https://www.sec.gov/Archives/edgar/data/23632/000104786220000104/ed-20200331ex992.htm. Under the 2023–2025 Rate Plan (Case 22-G-0065), the gas delivery revenue increases are:

2023: $217 million, 2024: $173 million and 2025: $122 million. Source: Consolidated Edison, Inc. 1Q 2023 Earnings Release, page 8 https://www.sec.gov/Archives/edgar/data/23632/000104786223000118/a1q2023earningsreleasepr.htm

Q: What does the Company identify as the basis for the need for the increased revenues in the current rate case?

A: The Company attributes the need to a variety of factors including new infrastructure investments to accommodate demand growth and clean energy options; resiliency investments; improved outreach and customer support; and protecting IT infrastructure against cyber threats. (See Exhibit _(CWB-04), "Company Letter to the Commission" dated January 31, 2025, from Con Edison President Matthew Kotschke to the secretary of the commission.)

Q: What are your concerns and criticisms regarding the Company's basis for the increased revenues?

A: As cited hereinabove, the commission previously has granted the Company substantial revenue increases and concomitant rate increases in the last two cycles of rate cases resulting in a significant increase in the Company's rate base. This already is placing an undue burden on financially strained consumers, as evidenced by a significant number of residential customer arrearages. As

of December 2024, the Company reported that 496,007 residential customers were more than 60 days behind on their utility bills, with total arrears amounting to $1.4 billion. (See attached Exhibit_(CWB-05), the Company's Energy Affordability Program Report, December 2024, Cases 22-E-0064, 22-G-0065, 14-M-0565.) This report evidences that the significant incidences of arrearages has worsened since the issuance of the NYS Comptroller's July 2022 Economic and Policy Insights, Distribution of Utility Arrears in New York State (see Exhibit _ (CWB-06)), which reported that between March 2020 and March 2022, the Company experienced a 155% increase in both the number of customers in arrears and the total amount owed, at which time the average Company customer in arrears owed $2,162, which exceeds the median monthly gross rent in New York City.

Q: How would the double-digit percentage increases in customer bills compare to the Cost-of-Living adjustment ("COLA") for recipients of Social Security and Supplemental Security Income?

A: The comparison is stark, with the January 1, 2025 COLA being 2.5%. (See Exhibit__ (CWB-07)Social Security Administration Fact Sheet – 2025 Social Security Changes.)

Q: What income cohorts would be most affected by the proposed rate increases?

A: In my opinion, the proposed rate increases would disproportionately affect low-income households and small businesses.

Capital Investment Plans and Cost of Capital

Q: What are the capital investment plans of the Company as proposed in the cases?

A: In the January 31, 2025, Company Letter to the Commission, the Company stated that over the next three years the Company intends to invest more than $21 billion to "build infrastructure like transmission, substation and distribution facilities… throughout Con Edison's territory."

Q: What is the means for raising the capital which the Company asserts is required?

A: The Company proposes, among other things, cost recovery through incorporating new capital investments into the rate base, depreciation and amortization (also in customer rates) and earnings adjustment mechanisms.

Q: Does the Company have other access to capital and is there any recent evidence of success in such access?

A: Yes, the Company has access to the capital markets, as most recently evidenced by the Company's successful sale on

November 14, 2024, of $1.45 billion of debentures. (See Exhibit __ (CWB-08) "Pricing Term Sheet," contained in Free Writing Prospectus filed with the US Securities and Exchange Commission (SEC) pursuant to Rule 433, Registration Statement No. 333-281192, dated November 14, 2024.)

Q: What were the interest rates on the sale of the debentures?

A: The interest rates depended on the term of the debentures, with those with corresponding benchmark treasuries as follows: $450 million in debentures due 2035 at 5.125% per annum (corresponding benchmark treasury: 4.250% due November 15, 2034) and $650 million in debentures due 2055 at 5.50% per annum (corresponding benchmark treasury: 4.250% due August 15, 2054) (See Exhibit__(CWB-08) Pricing Term Sheet.)

Q: What was the credit rating for the debenture sales?

A: Fitch Ratings assigned an A- rating to the issuance by Consolidated Edison Company of New York, Inc (CECONY) of the debentures, and Fitch noted: "Fitch views the approval of CECONY's rate settlement that went into effect on Aug. 1, 2023, as a positive regulatory development," among other key rating drivers. (See Exhibit__(CWB-09) Fitch Rating Action Commentary November 14, 2024.)

Q: Are there any other recent instances of the Company raising capital in the capital market?

A: Yes, the Company reported the issuance of over $1.3 billion in new common equity during the first quarter of 2025. (See Exhibit__(CWB-10), Company Media Release, May 1, 2025.)

Q: Does the sale of the debentures and the issuance of the common stock reflect upon the Company's ability to raise substantial capital on reasonable terms, and what is the bearing upon the Company's stated intention of raising capital through increases in its rate base?

A: Yes, the Company's success in these actions reflects strong investor confidence in the stability and financial strength of the Company. The relatively modest margin in the interest rate over the corresponding benchmark treasuries in the sale of the debentures also evidences the Company's ability to raise significant capital on favorable terms.

Q: Are there concerns about the Company's capital spending plans?

A: Yes, the Company has proposed very large increases in capital spending which prompted the City of New York to state that the magnitude of the spending plans must be evaluated through the rate setting process and that this proposed process is redundant to the existing coordinated grid planning process. Further, The City expressed concern

over the impact on ratepayers: "capital projects cannot be viewed in isolation or in a manner that causes unreasonable and unjust increases to customer bills...". (See Exhibit__(CWB-11) March 31, 2025, Comments of the City of New York in Response to Long-Term Proactive Planning Framework Case 24-E-0364.)

Q: What is your view regarding the proposed capital plan and the Company's proposed means of financing it?

A: The commission should scrutinize the proposed capital plans to ensure that they are reasonable, not redundant, properly prioritized and overall are justifiable. To the extent that they are not prioritized as necessary for the period covered by the rate case (or any settlement which extends the time period), the plans should be scaled back or deferred. Given that the Company has significant access to capital markets at favorable rates, the Company should be required to shift a substantial portion of the burden of capital investments from ratepayers to shareholders. Without such actions, it is doubtful that the commission would be able to meet its obligation to ensure just and reasonable rates, as required under Public Service Law Section 65(1).

Q: Are there any specific actions which the Company should take in addition to those cited in your previous response?

A: Yes, in March 2019, the Company has instituted (without any Commission disapproval) a moratorium on new gas line connections in Westchester County which was subsequently lifted. As part of this rate case, the Company should reinstate the moratorium and investigate the feasibility and appropriateness of imposing a moratorium in other portions of its service area. The March 2019 moratorium was based primarily on capacity constraints and those capacity constraints may recur. In addition, NYS has adopted a policy to transition away from fossil fuels, so it would be consistent with and in accordance with such policy to consider such moratoriums. The Company also should encourage, through voluntary neighborhood consent, avoiding such new gas line connections as requests arise (through the obligation to serve). The capital plan may be reduced to the extent such new gas line connections are avoided.

Return on Equity

Q: What is the Return on Equity (ROE) which the Company has proposed?

A: The Company has proposed an increase in the ROE from 9.25% to 10.1% in both the gas and electric cases. (See Exhibits __(CWB-02) and (CWB-03) DPS Notification for Gas Case and DPS Notification for Electric Case.)

Q: In setting a ROE in a rate proceeding, does the commission ever cite prior cases as precedent?

A: Yes, the commission does cite prior decisions. For example in the 2022 Con Edison Electric & Gas Rate Cases (Cases 22-E-0064 & 22-G-0065), in which the commission approved an ROE of 9.25% for both electric and gas and referenced the past decision in the 2019 Rate Cases for New York State Electric & Gas (NYSEG) and Rochester Gas & Electric (RG&E) (Cases 19-E-0378, 19-G-0379, 19-E-0380, 19-G-0381) to justify ROE ranges and equity ratios. In June 2023, the commission set a 9.20% ROE for the joint rate case of NYSEG and RG&E. Case numbers NYSEG Electric: Case 22-E-0317; NYSEG Gas: Case 22-G-0318; RG&E Electric: Case 22-E-0319; and RG&E Gas: Case 22-G-0320.

Q: Is the 10.1% ROE which the Company proposes supported by current market conditions?

A: No, given the relatively low interest rates, the Company's strong access to capital on favorable terms and strong investor confidence, the 10.1% ROE exceeds what is supported by current market conditions. There are several precedents under which the commission has authorized ROEs below 10% for peer utilities operating under similar conditions, including those which set an ROE of 9.0% or less. For instance, in Case 17-E-0459, the commission

approved an 8.8% ROE for Central Hudson Gas & Electric Corporation. Similarly, in Case 20-E-0380, Niagara Mohawk Power Corporation (National Grid) was authorized a 9.0% ROE. These precedents indicate that a 10.1% ROE is well above the range which the commission would deem reasonable. Other cases with ROEs below 9.0% include the following: 8.80% under Case 19-E-0065 and 19-G-0066; 8.80% under Case 19-E-0378 and 19-G-0379; 8.80% under Case 20-G-0101; 8.80% under Case 20-G-0381; 8.80% under Case 17-E-0459 and 17-G-0460; and 8.70% under Case 16-G-0257. Among commonality of key factors shaping ROE decisions today and those under those earlier cases include low inflation (e.g., 2025 at 2.5% and 2018 at 2.44% with inflation trending down at this time); strong base rates, strong access to capital markets on favorable terms and strong shareholder returns (evidenced by 52 consecutive years of dividend increases and steady increase in share price over the past 22 years).

Q: Are there studies that show that approved ROEs nationally for regulated utilities exceed various financial ROE benchmarks and, if so, is it relevant to this case?

A: Yes, the September 2024 Energy Institute at Haas working paper, "Rate of Return Regulation Revisited" of Karl Dunkle Werner and Stephen Jarvis (the "Haas Study", (see

Exhibit__(CWB-12))), concluded that its analysis shows that the return on equity that utilities are allowed to earn is markedly higher than various benchmarks and historical relationships would suggest. It is relevant to this case in that the proposed ROE not only exceeds the recent rate cases cited hereinabove but also the average ROE in the broad US stock market, as discussed in the Haas Study.

Q: Should the approved ROE be lower than the proposed ROE, and if so, what would be fair and reasonable?

A: Yes, as the proposed ROE is excessive and does not strike a fair balance between the Company's cost of service, fair return on investment and the need for safe, adequate and reliable service, on the one hand, and affordability, consumer protection and just and reasonable rates, on the other hand. In my opinion, today's market conditions are similar to those which were present in Case 17-E-0459, cited above, in which the commission approved an 8.8% ROE for Central Hudson Gas & Electric Corporation. As such, I believe a more reasonable and balanced ROE for the present cases would be no greater than 8.80%.

Limitation on Recovery of Executive Compensation

Q: Has the commission limited recovery of executive commission in prior rate cases involving the Company?

A: Yes, in the Company's 2008 electric rate case (PSC Case 08-E-0539), the commission limited incentive-based compensation not clearly linked to customer benefit, including measurable safety, reliability, environmental or customer-service improvements. The decision disallowed performance-based compensation such as bonuses which lacked such customer benefit. The decision also requires the Company to provide detailed benchmarking studies comparing executive compensation to the Company's peer group in support of recovery requests.

Q: What action has Governor Kathy Hochul taken this year with regard to utility company executive compensation?

A: On February 13, 2025, the Governor directed the commission to conduct an audit of utility company salaries and in her press release issued that day announced that the commission has initiated a "comprehensive review of utility management compensation." (See Exhibit__(CWB-13) Press Release, dated 2/13/2025, issued by Governor Kathy Hochul.)

Q: How does the Governor's directive impact these cases?

A: The Governor stated in her press release that the audit "will inform future rate cases to protect New Yorkers from unfair rate hikes."

Q: What is the present compensation of the Chief Executive Officer of the Company?

A: In its annual proxy statement filed with the SEC for the year 2024 the company reported CEO Timothy P. Hawley's total compensation of $16,176,871. (See Exhibit _(CWB-14), Summary Compensation Table.)

Q: Explain your concern over executive compensation and its relevance to the rate cases?

A: I have had constituents reach out to me and express deep concern over the high rate of compensation for CEO Hawley and other highly paid company executives, and, in particular, that as ratepayers, they are paying for such compensation through their utility bills (at least to the extent that recovery is permitted). It is highly relevant to these cases to both ensure that any recovery is fair and just and in consideration of Governor Hochul's action regarding utility executive compensation.

Q: What is the appropriate action on recovery of executive compensation in these cases in light of the commission's precedents limiting recovery and its ongoing audit?

A: The commission should prioritize completion of the audit of the Company, requiring prompt Company cooperation in such audit. It would be reasonable to expect that such an audit can be limited within the timelines of these rate cases. As such, the commission should not approve any recovery until such time as the results of the audit of the Company are

available, so as to inform these rate cases, as intended by the Governor.

Q: What other reasonable commission action should be considered on recovery of executive compensation?

A: Following completion of the audits statewide, the commission should consider promulgating rules on limitation of recovery of executive commission to codify, as appropriate, prior precedents and consider principles of other utility regulatory authorities including Federal Energy Regulatory Commission and those of other states.

Transition to Smart Meters

Q: Are you in favor of smart meters?

A: Yes. When I was Supervisor of Bedford, I was a vocal supporter of transitioning to smart meters. If the smart meters are well calibrated and maintained, they should be accurate and efficient. Instead of customers having "estimated" readings every other month (or sometimes more often than that), they would have accurate readings every month. This would eliminate surprise bills that are much larger than expected due to months of low estimates. If properly implemented with enough measures to ensure accuracy and staff support to successfully assist customers, I think smart meters will save the Company money in the long run, and are also a greener option.

Q: What is your concern regarding smart meters?

A: I have received constituent complaints regarding smart meters for a variety of reasons, including alleging erroneous readings, Company technicians not showing up to investigate the complaint, Company representative advice to the customer to the effect that smart meters are virtually 100% accurate and if the customer has an issue with the meter, the customer should hire an electrician to examine it, and on occasion reports of rude and dismissive Company representatives.

Q: What do you feel is an appropriate action on the part of the Company?

A: I very much favor the transition to smart meters. I also recognize that some customers who lodge complaints with the Company misunderstand the technology and make incorrect assumptions and conclusions, however, the Company needs to devote courteous and trained staff to handle customer complaints involving smart meters and greater willingness to send a technician to investigate issues. Doing so is in the interest of the Company and ratepayers so as to facilitate the completion of the Company's transition to smart meters. Customer skepticism needs to be addressed in a patient and understanding way, not only as a matter of good customer relations, but also to overcome such

skepticism and reduce the number of customers who reject the installation of smart meters and insist upon retention of the dial meters. There should also be transparency around the accuracy of smart meters, including how often they are checked or calibrated.

Affordability and Public Interest

Q: In your opinion, are the rate requests fair and reasonable?

A: It is my view that the rate requests shock the conscience and are unfair and unreasonable for the reasons cited above, including the valid expectation that shareholders should bear more of a burden, rather than further burdening beleaguered ratepayers with double-digit rate increases. I fully agree with the Governor in her February 11, 2025, letter to Public Service Commission Chair and CEO Christian in which she was writing to "express my objection with Con Edison's recent request to raise electric rates by 11.4% and natural gas rates by 13.3%. I am requesting that this proposal be rejected as it would burden New Yorkers who are already struggling to make ends meet after several years of inflationary pressure in the marketplace. The message to Con Edison should be straightforward: go back to the drawing board and find a better way." (See Exhibit__(CWB-13))

Other Areas of Concern

Q: Are there any other areas of concern that you feel should be addressed?

A: Yes. I'm concerned about the lack of information on rate recovery for settlement funds on litigation against the Company regarding allegations of sexual harassment or discrimination; lack of information on out of state contractors and in state contractors; and the Company's ability to meet the goals of the Climate Leadership and Community Protection Act, associated Scoping Plan and School Bus Mandate.

Conclusion of Testimony

Q: Does this conclude your testimony?

A: Yes.